THALES

In an era of uncertainty, technological sovereignty is the ultimate strategic asset

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Executive Summary

Thales SHOULD NOT merge with Rheinmetall but acquire RENK to pursue its ground warfare goals

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Thales SHOULD NOT MERGE with...

RHEINMETALL

- Rheinmetall is a direct competitor in defense electronics and ground systems, creating overlap rather than complementary capabilities
- A merger would face significant regulatory scrutiny given both are major European defense contractors

- Rheinmetall is currently valued at ~€34.8B, making a full acquisition cost-prohibitive
- Limited synergies as both companies compete in the same end markets, reducing incremental value creation

- Overlapping product portfolios would dilute Thales' differentiated position in sensors, C4ISR, and electronic warfare
- Integration complexity and cultural clash between two large defense primes would destroy shareholder value

Instead, Thales SHOULD MERGE with...

RENK

- RENK is a pure-play propulsion & drivetrain specialist, highly complementary to Thales' defense electronics with no overlap
- Strengthens Thales' ground warfare offering end-to-end, from sensors to mobility systems

- RENK valued at ~€3.5B — far more digestible, with strong synergy potential (~€500M+)
- RENK's growing backlog (€5B+) and 23% revenue growth provide immediate financial upside

- Fills Thales' key gap in vehicle mobility and propulsion for NATO ground platforms
- Aligns with rising European defense budgets and demand for integrated ground warfare solutions

European Defense Industry Overview

Rising European Defense Budgets and Modernization Demands Create Significant Market Opportunity

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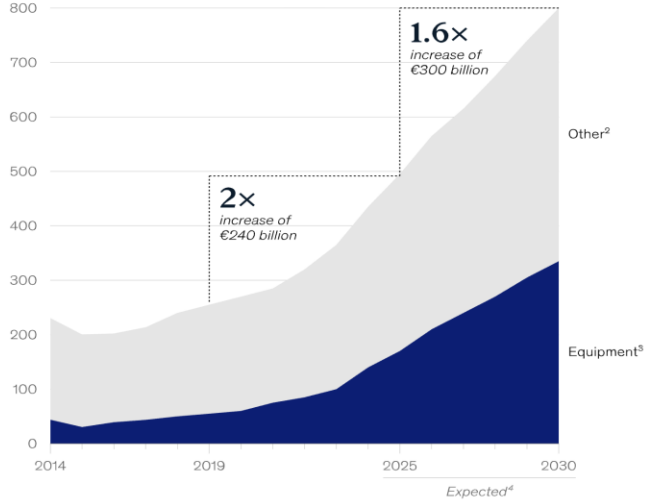
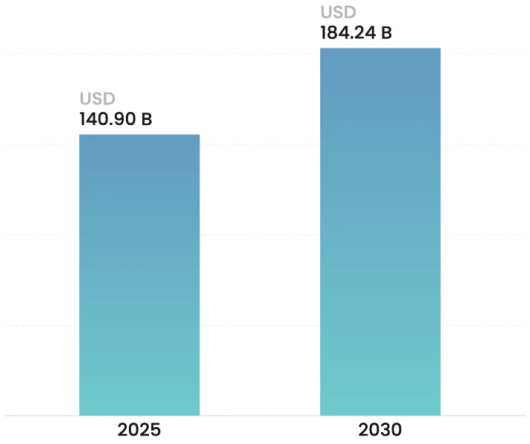
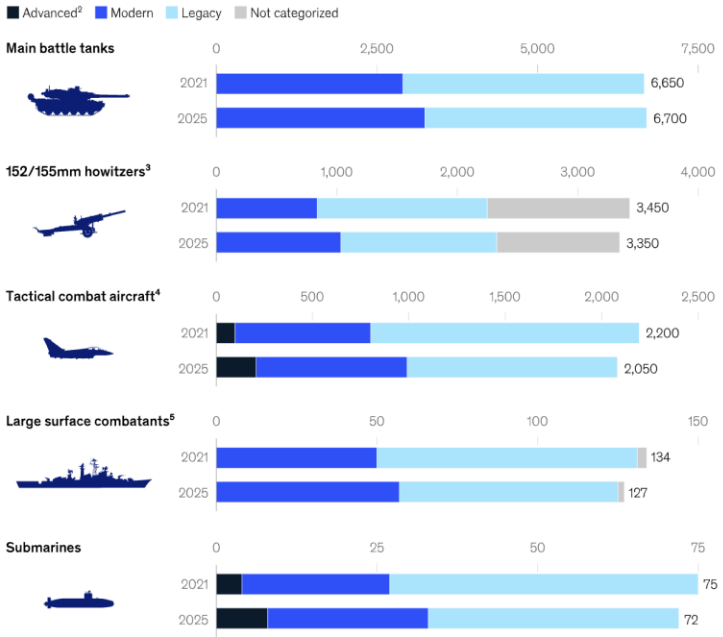
Defense spending is rising rapidly among European NATO countries due to the intensification of geopolitical tension



The European Defense market is growing at 5.51% CAGR



*… The number of **modern military equipment** is **increasing** across all major categories*



… at the 2025 NATO Summit, Allies committed to invest **5% of GDP annually** on **core defense requirements** and **security-related spending** by 2035.

Key Drivers

- **NATO 2% target** pushes faster budget increases
- **EU defense funds** spur cross-border R&D programs
- **Russia–Ukraine war** heightens readiness and threat focus
- **Multi-domain ops** drive force-structure redesign
- **Faster prototyping** via EDIDP/ASAP pathways
- **Sovereign missile defense** momentum (e.g., Sky Shield)

BUT …

- **Tighter budgets** amid energy-transition spending
- **Energetic-materials** supply chain bottlenecks
- **Fragmented EU export licenses** slow deals
- **Skilled labor shortages** in systems integration

Market Trends

	Modernization is shifting toward **C4ISR, sensors, secure comms, EW, and integration**
	Land systems + munitions scale-up is prioritized: Europe is rebuilding stocks and industrial capacity via the ASAP program
	New EU frameworks (e.g., €1.5B from EDIP) incentivize cross-border procurement
	Air & missile defense is the top urgency theme: Joint buying/integration is accelerating via ESS and similar layered IAMD efforts.

(Modor Intelligence , 2024), (McKinsey, 2025)

Porter's Five Forces Analysis

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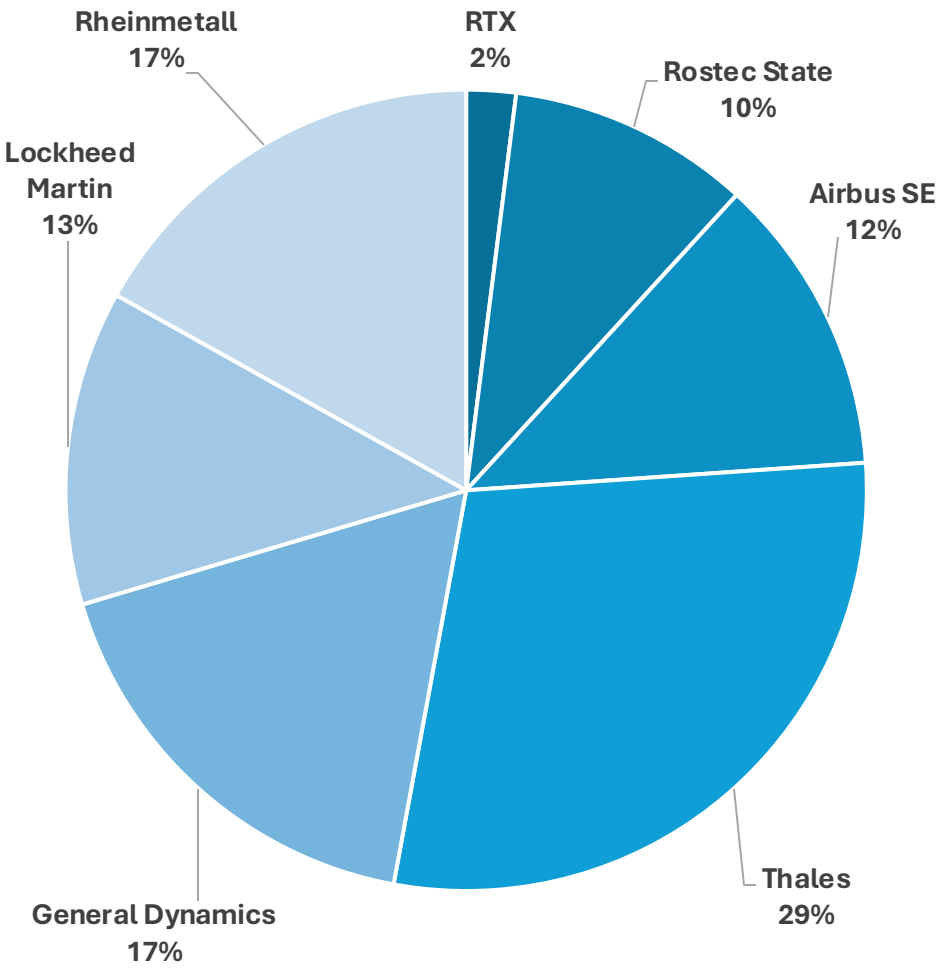
Force	Intensity	Assessment
Competitive Rivalry	Moderate to High	• Limited number of competitors with comparable capabilities, but intense competition for major programs. • Differentiation through technology and relationships.
Threat of New Entrants	Low	• Extremely high barriers including security clearances, certification requirements, R&D investments, customer relationships, and program complexity. • Limited threat from outside aerospace/defense.
Supplier Bargaining Power	Moderate	• Specialized component suppliers possess some leverage • Supply chain consolidation increasing supplier power marginally.
Customer Bargaining Power	Moderate to High	• Government customers possess significant leverage through competitive tenders and budget constraints. • Technical complexity and switching costs limit pure price competition.
Threat of Substitutes	Low to Moderate	• Limited substitutes for advanced defense electronics and avionics in near-term. • Longer-term, emerging technologies (autonomous systems, AI) could disrupt traditional platforms.

Key Players by Market Shares



Land systems and ammunition

Biggest and fastest growing segment in Europe

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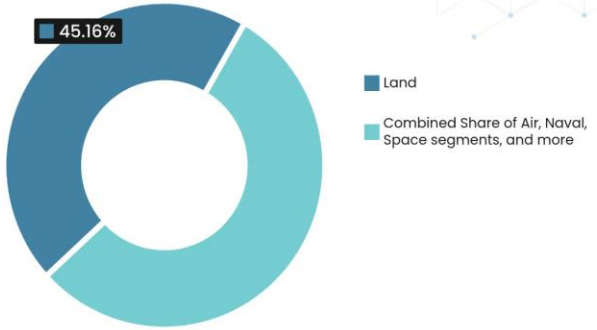
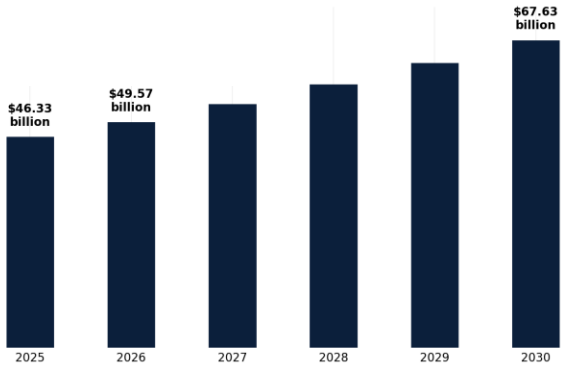
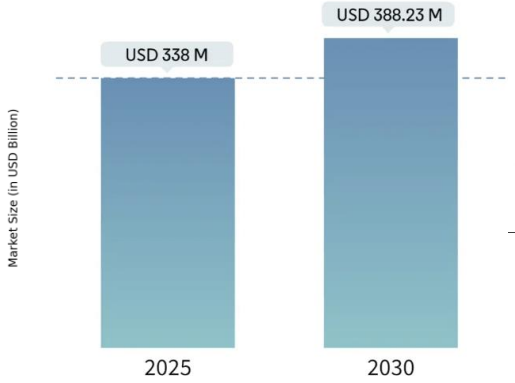
Land systems occupied 45.16% of the European defense market in 2024



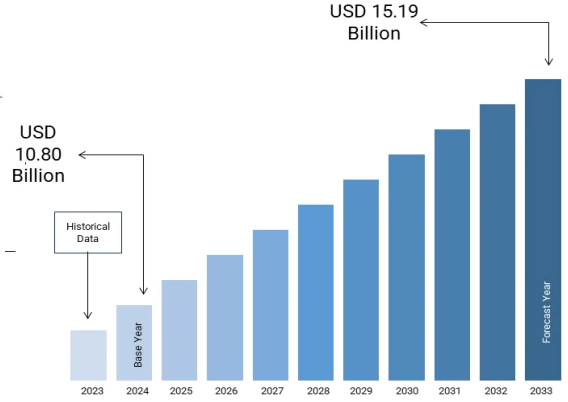
TAM: $46.33B **CAGR: 8.1%**



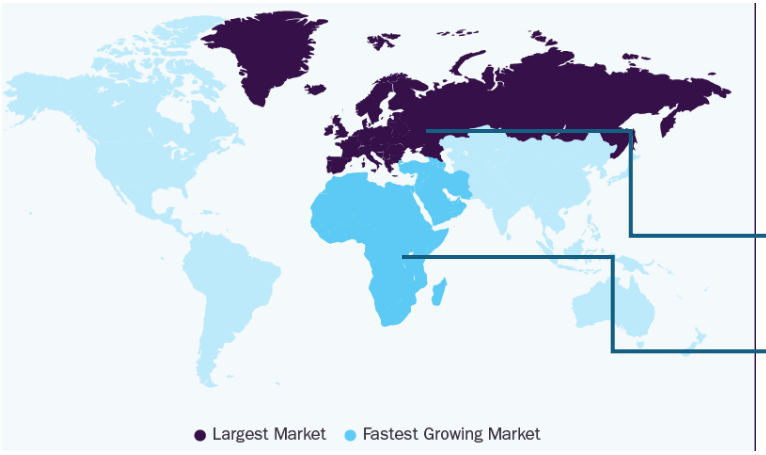
Medium & large calibre ammunition sub-segment (CAGR 2.81%)



Armored vehicles sub-segment (CAGR 4.65%)



Global Ammunition Market Share by Revenue



Europe with the largest share of 48.3% (2025)

Africa has the highest growth

Key Players

- BAE Systems
- Rheinmetall
- General Dynamics
- Leonardo
- KNDS (Nexter)

Market Trends:

Very strong demand for artillery, mortars, and vehicle cannon ammunition, with land platforms accounting for ~65% of ammunition demand and the fastest growth.

Stockpile rebuilding after Ukraine, plus NATO eastern-flank posture, is driving multi-year orders and production-capacity expansions.

Shift toward "smart" and guided projectiles and improved lethality; R&D budgets support new calibres, fuzes, and precision-guided munitions

- **Industrial bottlenecks** in explosives/propellants and filling capacity can cap revenue realization even with strong demand.
- Long-term risk that once stockpiles are rebuilt and the Ukraine war stabilizes, growth normalizes to mid-single-digits, especially in "dumb" ammo

(Modor Intelligence , 2024), (Yahoo Finance, 2025)

Air defense systems

Second highest growth sub-segment

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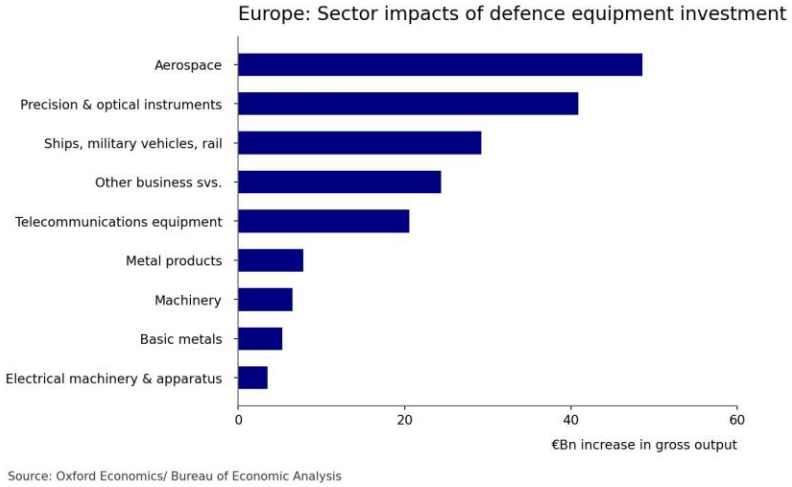
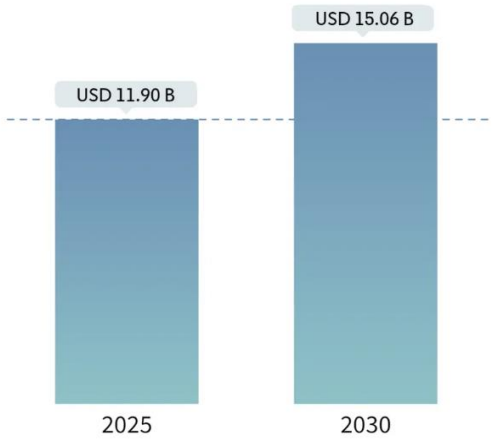
Aerospace is expected to be the second highest growth sub-segment



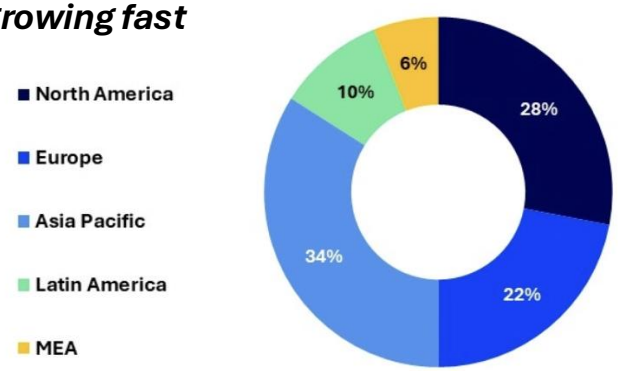
With the CAGR being 4.83%



Medium and long-term growth drivers:

- Climate-neutral aviation and SAF mandates driving aerospace R&D investments
- Urban air mobility corridor pilot programs advancing next-generation air transport
- Increased EU defense fund and strategic compass budget allocations
- Adoption of digital engineering and MBSE to reduce program life-cycle cost

Europe still has the biggest market share in air defense, but the Asia Pacific region is growing fast



(Modor Intelligence , 2024), (Oxford Economics, 2024)

Market trends

- Rising demand for military transport, tankers, ISR aircraft and rotorcraft, driven by NATO readiness and logistics needs.
- Space: growth in launchers, satellites , and ground segments under EU and national programs, supported by the EU focus on strategic autonomy in space.
- Maintenance, Repair, and Overhaul (MRO) in Europe is projected to reach ~USD 40.4 bn by 2030, at 3.6% CAGR 2025 –2030, indicating robust service and aftermarket revenue.

Key Players

BAE SYSTEMS
LEONARDO
THALES
SAFRAN
AIRBUS

Source: Modor Intelligence (2025), Oxford Economics (2025), Precedence Research (2025)

C4ISR and defense electronics

The future of defense market

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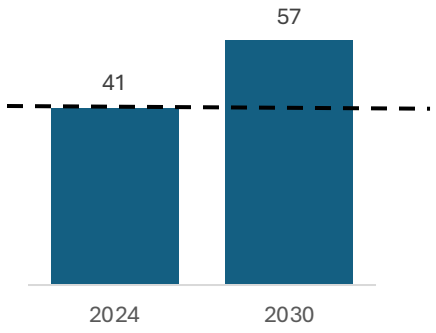
The Global Defense Electronic Market has a CAGR of 3.5%



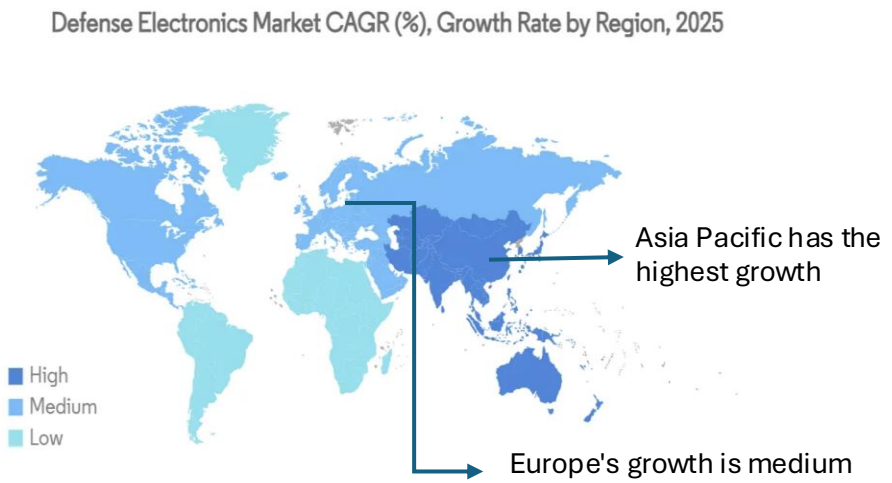
***Growth drivers*:**

Budget surge: NATO 2%+ GDP commitments plus EU Defensee Fund/EDIRPA (€8bn+) explicitly target C4ISR, EW, secure comms upgrades across member states

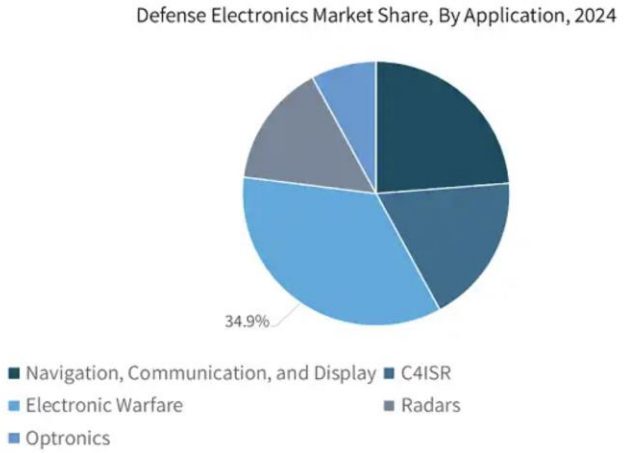
Digital warfare transformation: Legacy radios → software-defined networks; battlefield cloud, AI decision support, data fusion for multi-domain ops

Drone/threat environment: Proliferation drives counter-UAS radars/sensors, layered air defense electronics, networked fire control for artillery/mortars

Cyber resilience mandates: EU "military data space" by 2030 requires hardened networks, crypto devices, resilient C2 to counter jamming, cyber intrusions



Optronics and C4ISR are the major applications



(Modor Intelligence , 2024), (Grand View Research, 2025)

Market Trends:

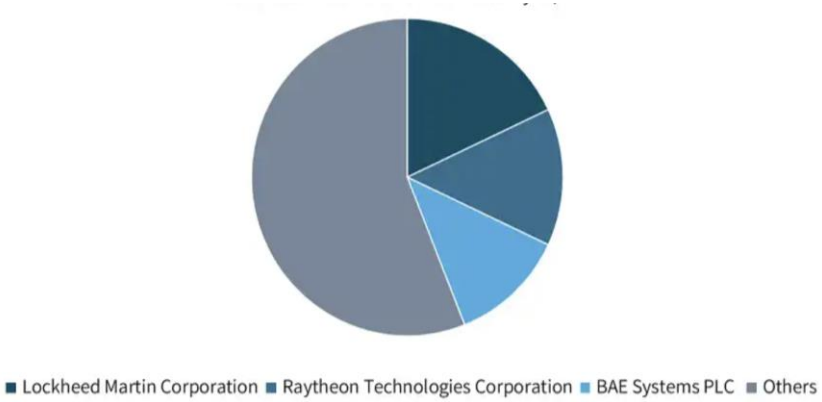
Hardware is currently the largest revenue segment (~60% share in 2024), including sensors, radars, communications, and command systems.

Services and software show higher growth, driven by integration, upgrades, cybersecurity services, and AI-enabled decision-support

Strong demand for secure, resilient communications, integrated battle management, and multi-domain command systems across land, air, sea, cyber and space.

EU and NATO interoperability requirements are pushing standardisation and joint architectures, favouring suppliers that can deliver across multiple domains and nations.

Key Players



Thales Overview

Thales delivers critical technology for defense, aerospace, and digital security worldwide

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What Thales Offers

Defense & Security Systems

- C4ISR
- Battlefield management
- Missile systems
- Electronic warfare
- Naval systems
- Cyber defense solutions

Aerospace Systems

- Avionics
- In-flight entertainment
- Cockpit systems
- Satellite systems
- Space technology for commercial and military uses

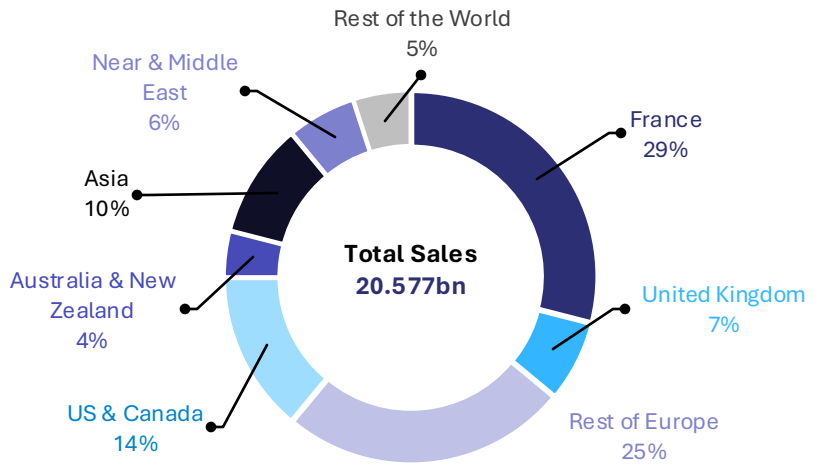
Digital Identity & Cybersecurity

- Biometric systems
- Payment security
- SIM cards
- Cybersecurity solutions
- Digital identity services

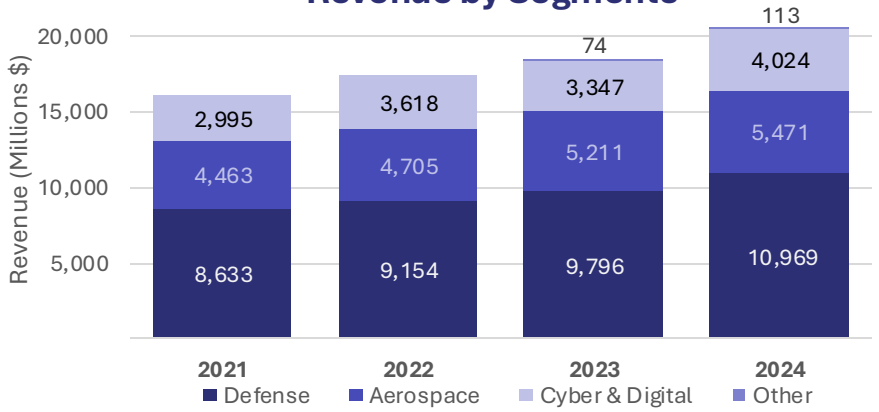
Thales's Strategic Direction

- **Product Excellence:** Advanced technology and design to exceed customer expectations
- **Controlled Production:** Maintaining exclusivity for pricing power
- **Cybersecurity Leadership:** €2.4B annual cybersecurity revenue target (Imperva acquisition)
- **Defense System:** Focused on delivering operational superiority through digitized, connected, and intelligent systems, aimed at helping land forces navigate increasingly complex, high-intensity, and multi-domain environments.

2024 Sales by region (in % total)



Revenue by Segments



Thales Overview

Core competencies drive €20.6bn revenue with record €51bn order backlog

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Thales Core Defense & Technology Capabilities

C4ISR & Battlefield Management
World-leading command, control, communications systems. CONTACT, SYNAPS, HawkLink platforms. Software-defined radio and tactical communications networks

Missile Systems & Precision Weapons
Starstreak HVM, NLAW anti-tank, LMM precision strike, RAPIDFire 40mm CIWS. 120mm rifled mortar systems with 80,000+ rounds/year capacity.

Electronic Warfare & Radar
SPECTRA EW suite (Rafale fighter), Ground Master radars, counter-battery systems, comprehensive jamming and electronic support measures across all domains.

Vehicle Electronics & Optronics
Catherine FC thermal imaging, fire control systems, targeting sights. Every UK main battle tank for 75 years uses Thales-designed sights. SWARM remote weapon stations.

Naval Systems (35% Naval Group stake)
Combat management systems, sonar and underwater warfare, naval radars and sensors for French Navy frigates (FREMM, Horizon programs) and submarines.

Ground Warfare Capability Assessment

STRENGTHS

- Protected mobility vehicles (Bushmaster, Hawkei)
- Best-in-class vehicle electronics and fire control
- World-leading C4ISR and battlefield management
- Missile systems portfolio (anti-tank, anti-air)
- Electronic warfare capabilities
- 25% MGCS program shareholder

CRITICAL GAPS

- NO main battle tank production
- NO infantry fighting vehicle manufacturing
- NO armored personnel carrier production
- NO self-propelled artillery systems
- NO towed artillery production
- NO tank/artillery main gun manufacturing
- LIMITED large-caliber ammunition (mortar only)
- Heavy armor fabrication NOT in engineering culture

Strategic Insight

Thales excels as a subsystem provider and systems integrator with world-class electronics, C4ISR, and missile capabilities. However, the company is NOT a platform manufacturer. It lacks industrial-scale heavy armor, artillery, and tank production. To achieve true ground warfare expansion, Thales must acquire or partner with a platform OEM.

Rheinmetall Overview

Rheinmetall is a leader in global integrated defense and technology

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Strategic Growth Direction

- Since 2020, it has been strategically repositioning away from combustion engine dependency toward **defense systems, digitalization, electrification, and hydrogen**.
- Supports civilian mobility, electrification, hydrogen, and aftermarket activities.

Operating in four core defense divisions:

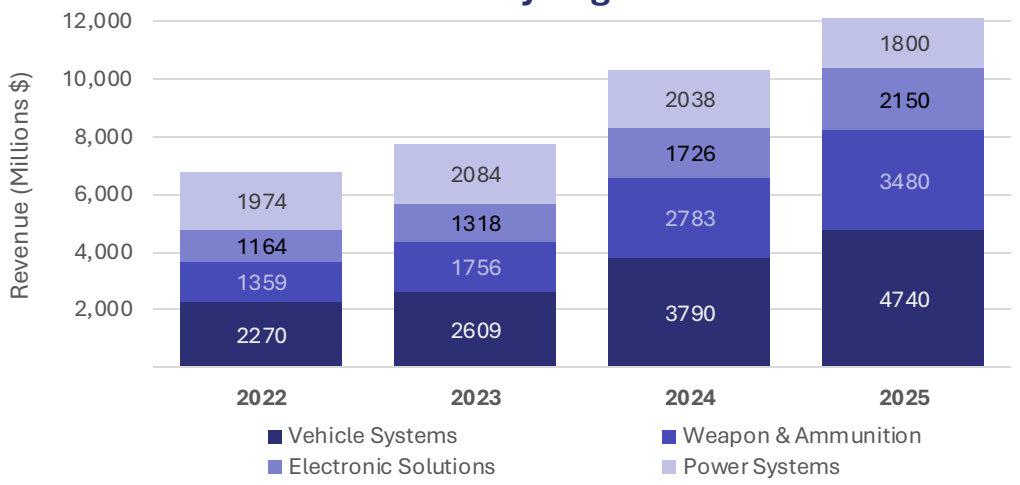
- Vehicle Systems (International)
- Vehicle Systems (Europe)
- Weapon and Ammunitions
- Electronic Solutions

Strategic Growth Areas (Defense)

Rheinmetall is scaling across **land, air, digital, and space**

- **Artillery & Ammunition** – Massive capacity expansion (Germany, Lithuania, Romania)
- **Ground-Based Air Defence** – Skyranger, Sky Shield Initiative
- **Main Battle Tanks & IFVs** – Panther KF51, MGCS, Lynx
- **Military Logistics Vehicles** – HX3, autonomous trucks, NATO interoperability
- **Aviation** – F35A fuselage, CH53 maintenance
- **Unmanned Systems** – Drones, loitering munitions
- **Digitalization** – Battlefield networking, AI, cyber
- **Space** – Tactical satellite surveillance (ICEYE)
- **Civil Tech** – Hydrogen, electrification, synthetic fuels
- **M&A & Partnerships** – Leonardo, Lockheed Martin, Anduril, Honeywell

Revenue by Segments



Key market & Geographic Focus

German Armed Forces (Bundeswehr):
- Clearing investment backlog
- NATO Very High Readiness Joint Task Force
- Role in Framework Nation → has broad capability requirements

Eastern Europe (NATO):
- Modernization of Soviet era equipment
- Strong long-term growth opportunity

Key international markets ("home market strategy"):
- United Kingdom (joint-venture with BAE Systems, RMMV trucks)
- Australia (Military Vehicle Center of Excellence)
- Hungary (Lynx IFV, Panther KF51, radar, ammunitions)
- United States (Loc Performance acquisition)
- Ukraine (joint-venture for maintenance → production chain)

Strategic Fit

The combination of Thales' technology and Rheinmetall's heavy platforms

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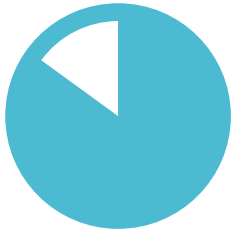
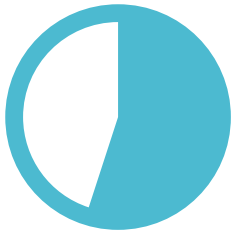
STRATEGIC ALIGNMENTS		HOW?	WHERE?	HOW MUCH?
	INTEGRATED SENSOR-TO-SHOOTER ARCHITECTURE	• Link Thales sensors, BMS and fire-control with Rheinmetall guns/missiles to create an end-to-end kill chain. • Embed secure Thales' comms in Rheinmetall batteries to enable cooperative, multi-node engagements.	• Ground-based air defense • Artillery and mortars • Networked land formations	
	DIGITALIZATION OF HEAVY PLATFORMS	• Integrate Thales vetronics, mission computers and displays into Rheinmetall platforms as the digital backbone. • Install Thales SDRs, sensors and BMS to turn vehicles into fully networked battlefield nodes. • Use a common open architecture so Thales' software upgrades scale across Rheinmetall fleets.	• Heavy IFVs/AFVs and SPHs • Onboard vetronics suites and mission systems on tracked/wheeled combat vehicles	

Strategic Fit

No Strategic Fit

Potential Peer Group

Land Systems & Firepower, Electronic & Defense Technology, and Aerospace are potential peer groups for Rheinmetall

Land systems & Firepower

SAAB, LEONARDO, GENERAL DYNAMICS, BAE SYSTEMS

Similar products and costs: **land vehicles** and **ammo**, made with **heavy manufacturing**.

Electronic Defense

HENSOLDT, L3HARRIS, THALES, NORTHROP GRUMMAN

Similar customers: **militaries** buying **electronics** and **systems** used on **modern battlefields**.

RHEINMETALL

Aerospace

BOEING, ROLLS ROYCE, AIRBUS DEFENCE & SPACE, SAFRAN

Similar **contract style**: large, long-term defense programs, even though the products are different.

Comparable Company Selection

Aerospace is eliminated because it doesn't share the same revenue and cost drivers as Rheinmetall

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	Market Size	Market CAGR	Brand Relevance	Cost Drivers	Revenue Drivers	Retained
Rheinmetall	---	28.3% ('25-'30)	---	✓ Raw materials, industrial inputs ✓ Energetics inputs & safety compliance ✓ Capacity expansion capex ✓ Labor, QA/testing, export controls	✓ Land platform programs & milestone deliveries ✓ Ammunition replenishment ✓ Modernization / mid-life upgrades ✓ Sustainment & services	---
Land Systems	$46.3B ('25)	8.1% ('26-'30)		✓ Raw materials, industrial inputs ✓ Energetics inputs & safety compliance ✓ Capacity expansion capex ✓ Labor, QA/testing, export controls	✓ Land platform programs & milestone deliveries ✓ Ammunition replenishment ✓ Modernization / mid-life upgrades ✓ Sustainment & services	✓
Electronic Defense	$41.8B ('25)	3.5% ('25 –'30)		✓ Raw materials, industrial inputs ✓ Energetics inputs & safety compliance × Capacity expansion capex ✓ Labor, QA/testing, export controls	× Land platform programs & milestone deliveries × Ammunition replenishment ✓ Modernization / mid-life upgrades ✓ Sustainment & services	✓
Aerospace (Defense)	$11.9B ('24)	4.83% ('25-'30)		✓ Raw materials, industrial inputs × Energetics inputs & safety compliance × Capacity expansion capex ✓ Labor, QA/testing, export controls	× Land platform programs & milestone deliveries × Ammunition replenishment ✓ Modernization / mid-life upgrades ✓ Sustainment & services	×

Land platforms & ammunition volume, driven by raw materials and factory capacity, distinguish Land Systems & Firepower peers from Defense Tech and Aerospace, driven by R&D/software & aviation cycles.

Land Systems & Firepower is the most comparable segment

Source: (Modor Intelligence, 2025), (McKinsey, 2025)

Peer Group Analysis

Rheinmetall is growing faster than its peers, but has a strong growth and high profitability

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	Company Overview	Sales FY25	EBITDA Margin FY23	EBIT Margin FY23
RHEINMETALL	• Land-systems leader: armored vehicles, firepower, ammunitions • Growing air-defense, sensors/electronics • Direct beneficiary of NATO restocking & modernization	6.4 → 7.2 → 9.8 (17%)	16.91%	14.27%
BAE SYSTEMS	• Diversified prime across air, land, maritime • Strong in combat vehicles and naval platforms • Meaningful electronics/EW and cyber capabilities	24.3 → 26.4 → 30.1 (12%)	14.25%	10.32%
GENERAL DYNAMICS	• Platform-heavy: submarines, battleships building & armored vehicles • Large C2/comms & mission systems business • Exposure to defense aviation (Aerospace segment)	36.0 → 40.6 → 44.7 (9%)	11.95%	10.19%
SAAB	• Tech-forward: Gripen fighter & radars/sensors • Strong missiles/air defense and EW • Known for agile, cost-effective solutions	4.50 → 5.57 → 7.16 (26%)	13.61%	10.36%
LEONARDO	• Broad aerospace & defense; strong electronics base • Leader in helicopters & avionics/EW • Key player in European programs and partnerships	15.29 → 17.76 → 17.76 (8%)	13.43%	6.74%

Median: 13.61%

Median: 10.32%

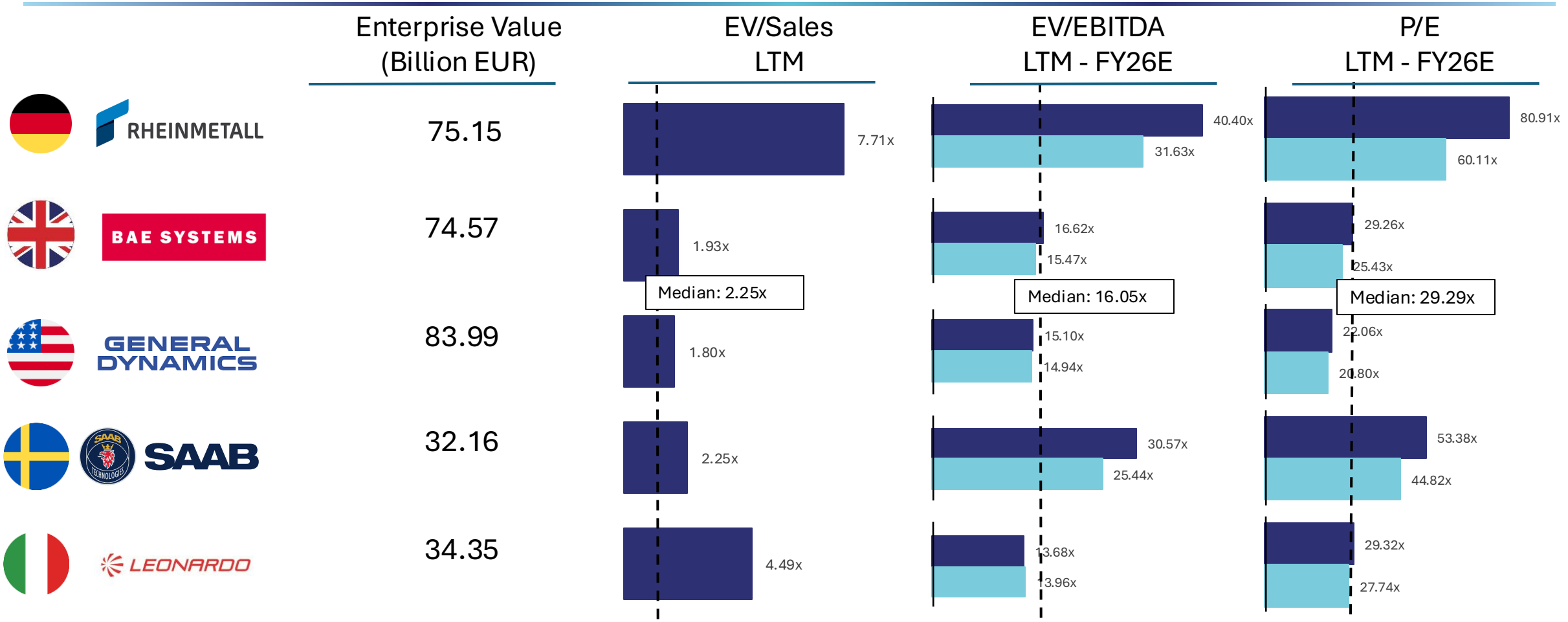
Rheinmetall has a smaller revenue scale but is growing faster than most of its peers and has the highest profitability due to its position as a leader in European land systems and its focus on air and electronic defense

Source: Bloomberg Terminal, 2025

Peer Group Trading Multiples

Rheinmetall is trading at higher multiples to its peers – Thales should not pay this premium given a lack of synergies

THALES



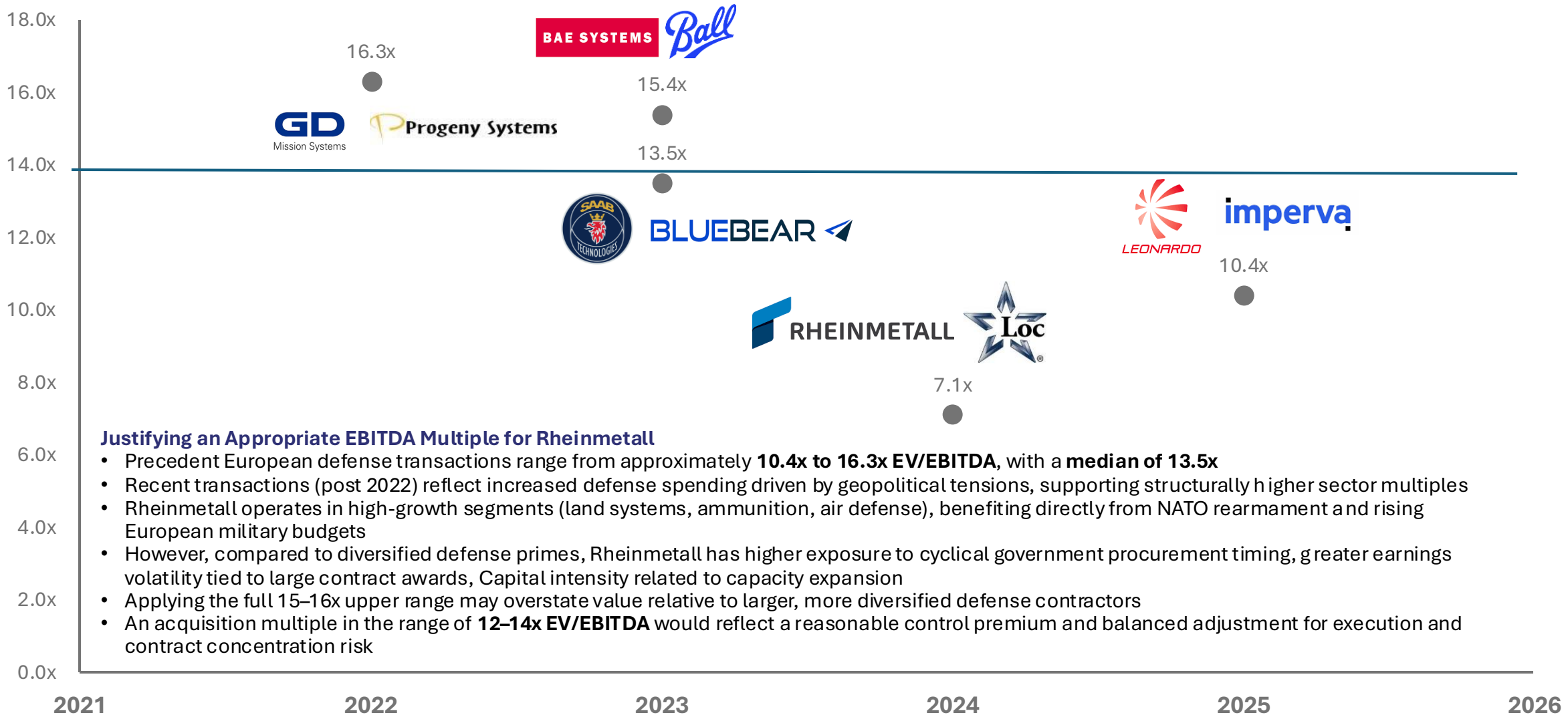
Rheinmetall trades at much **higher multiples** than its peers, reflecting strong **investors' confidence and expectations** given the political scenario in recent years, but also signalling **valuation risk**

Source: Bloomberg Terminal, 2025

Precedent Transaction Analysis

Honestly guys, I just want to sell my weapons and make banks

THALES



Justifying an Appropriate EBITDA Multiple for Rheinmetall

- Precedent European defense transactions range from approximately **10.4x to 16.3x EV/EBITDA**, with a **median of 13.5x**
- Recent transactions (post 2022) reflect increased defense spending driven by geopolitical tensions, supporting structurally higher sector multiples
- Rheinmetall operates in high-growth segments (land systems, ammunition, air defense), benefiting directly from NATO rearmament and rising European military budgets
- However, compared to diversified defense primes, Rheinmetall has higher exposure to cyclical government procurement timing, greater earnings volatility tied to large contract awards, Capital intensity related to capacity expansion
- Applying the full 15–16x upper range may overstate value relative to larger, more diversified defense contractors
- An acquisition multiple in the range of **12–14x EV/EBITDA** would reflect a reasonable control premium and balanced adjustment for execution and contract concentration risk

Rheinmetall Discounted Cash Flows

Rheinmetall's Valuation and Free Cash Flow Projections

THALES

Discounted Cash Flow Analysis

($ in millions, fiscal year ending December 31) — Operating Scenario

Operating Scenario
Mid-Year Convention

	2025	Projection Period 2026	2027	2028	2029	2030
Sales	**$12,170.0**	**$13,541.9**	**$15,048.6**	**$16,631.7**	**$18,185.3**	**$19,662.4**
% growth	*17.7%*	*11.3%*	*11.1%*	*10.5%*	*9.3%*	*8.1%*
Cost of Goods Sold	7,302.0	7,718.9	9,029.2	10,145.4	10,729.3	11,404.2
Gross Profit	**$4,868.0**	**$5,823.0**	**$6,019.4**	**$6,486.4**	**$7,456.0**	**$8,258.2**
% margin	*40.0%*	*46.8%*	*40.0%*	*39.0%*	*41.0%*	*42.0%*
Selling, General & Administrative	655.0	2,437.5	2,558.3	2,494.8	3,237.0	3,303.3
EBITDA	**$4,213.0**	**$3,385.5**	**$3,461.2**	**$3,991.6**	**$4,219.0**	**$4,954.9**
% margin	*34.6%*	*24.0%*	*26.0%*	*23.0%*	*21.0%*	*20.0%*
Depreciation & Amortization	730.2	415.8	491.4	590.6	722.3	780.9
EBIT	**$3,482.8**	**$2,969.7**	**$2,969.8**	**$3,401.1**	**$3,496.7**	**$4,174.0**
% margin	*28.6%*	*21.9%*	*19.7%*	*20.4%*	*19.2%*	*21.2%*
Taxes	975.2	787.0	798.1	921.5	948.2	1,131.9
EBIAT	**$2,507.6**	**$2,182.7**	**$2,171.6**	**$2,479.6**	**$2,548.5**	**$3,042.1**
Plus: Depreciation & Amortization	730.2	415.8	491.4	590.6	722.3	780.9
Less: Capital Expenditures	310.0	(775.0)	(849.1)	(923.6)	(885.0)	(956.9)
Less: Inc./(Dec.) in Net Working Capital	1104	(250.2)	(1,053.6)	(253.3)	(248.6)	(433.0)
Unlevered Free Cash Flow		**$1,573.3**	**$760.3**	**$1,893.2**	**$2,137.2**	**$2,433.2**
WACC						
Discount Period		1.0	2.0	3.0	4.0	5.0
Discount Factor		0.93	0.86	0.80	0.74	0.69
Present Value of Free Cash Flow		**$1,461.0**	**$655.6**	**$1,516.0**	**$1,589.2**	**$1,680.1**

Cost of Debt	
Cost-of-Debt	4.0%
Tax Rate	26.0%
After-tax Cost of Debt	**3.0%**

Cost of Equity	
Risk-free Rate (1)	3.2%
Market Risk Premium (2)	5.7%
Levered Beta	0.81
Size Premium (3)	0.3%
Cost of Equity	**8.1%**

WACC Calculation	
Target Capital Structure	
Debt-to-Total Capitalization	8.3%
Equity-to-Total Capitalization	91.7%
WACC	**7.7%**

Cost of Debt Assumptions:

- We estimate cost of debt using current Eurozone sovereign yields plus an investment grade spread consistent with Rheinmetall's credit profile.

Cost of Equity Assumptions:

- We assume a conservative capital structure consistent with Rheinmetall's historically low net leverage and strong cash generation profile.

Commentary:

- Revenue growth is projected at **17–18% short-term**, gradually declining to **8% by 2030**, reflecting structural European defense spending increases but normalization over time
- We assume EBITDA margins to decline from recent peak levels (~34%) toward a sustainable **20–24% range**, consistent with long-term defense contractor averages
- Capital expenditures are elevated in early projection years reflects capacity expansion in ammunitions & land systems production
- Net working capital assumes volatility due to large, milestone-based defense contracts, smoothing historical fluctuations

Rheinmetall Discounted Cash Flow Sensitivity Analysis

DCF Analysis Reveals Rheinmetall is Overvalued and Cost-Prohibitive for Thales

THALES

Enterprise Value	
Cumulative Present Value of FCF	**$7,233.0**
Terminal Value	
Terminal Year EBITDA (2030E)	$4,954.9
Exit Multiple	7.5x
Terminal Value	**$37,161.9**
Discount Factor	0.74
Present Value of Terminal Value	**$27,599.8**
% of Enterprise Value	*79.2%*
Enterprise Value	**$34,832.8**

Implied Equity Value and Share Price	
Enterprise Value	$34,832.8
Less: Total Debt	(2,423.0)
Less: Preferred Stock	-
Less: Noncontrolling Interest	-
Plus: Cash and Cash Equivalents	1,184.0
Implied Equity Value	**$33,593.8**
Fully Diluted Shares Outstanding	60.0
Implied Share Price	**$559.90**

Enterprise Value						
		Exit Multiple				
		6.5x	7.0x	7.5x	8.0x	8.5x
WACC	5.1%	32,312	34,241	36,171	38,100	40,029
	5.6%	31,724	33,608	35,492	37,376	39,260
	6.1%	31,153	32,993	$34,833	36,673	38,513
	6.6%	30,597	32,395	34,192	35,989	37,786
	7.1%	30,057	31,813	33,568	35,324	37,080

Commentary:

- We assume a conservative long-term growth rate consistent with long-run European GDP and defense budget growth expectations
- The selected exit multiple reflects Rheinmetall's current trading range and peer defense contractor EV/EBITDA multiples
- Sensitivity analysis across WACC (5.1%–7.1%) and exit multiples (6.5x–8.5x) suggests an enterprise value range of $30–40bn
- Base case valuation implies a share price of ~$560, indicating the company is fairly valued relative to intrinsic value

Why this deal doesn't work:

- At 20% premium → €29.5B equity value, far exceeding Thales' capacity for a cash deal
- Stock-for-stock would hand ~56% control to Rheinmetall shareholders — essentially a reverse takeover
- EPS dilutive absent major synergies, which are unlikely given overlapping portfolios

Even under the most favorable assumptions (low WACC of 5.1%, high exit multiple of 8.5x), Rheinmetall's EV reaches €40B — further reinforcing the cost-prohibitive nature of this transaction for Thales.

Synergies

Thales and Rheinmetall Achieve Strategic Value Through Collaboration

THALES

	Synergies	Reasoning	Duration	Impact
Revenue Synergies	• Integrated Land Combat Systems (platform + sensors + C4ISR) • Stronger EU/NATO prime positioning • Bundled lifecycle contracts • Expanded NATO-aligned Exports	• Combines platform (Rheinmetall) + electronics (Thales) into full-spectrum systems. • EU rearmament trends prefer single integrated contractors. • Larger contract scope	**5+ Years**	●●●●○
Cost Synergies	• Joint procurement of electronic components and raw materials • Consolidated corporate services (HR, finance) • Shared digital infrastructure (ERP, IT systems)	• Larger volume improves supplier leverage. • Standardization across land systems reduces component fragmentation. • Removes administrative duplication. • Improves inventory visibility.	**3-5 Years**	●●○○○
R&D Integration	• Joint next-gen platform development • AI-enabled targeting integration • Unified fire-control and battlefield network architecture • Elimination of overlapping electronics work	• Thales' strength in digital systems enhances Rheinmetall's hardware platforms. • Avoids duplication in electronics and systems. • Accelerates modernization programs aligned with EU defense priorities.	**3-5 Years**	●●●●●
Supply Chain Synergies	• Increased indepedence in European defense supply chain • Better coordination between electronics and platform manufacturing • Improved ammunition production planning with integrated targeting systems	• Europe seeks reduced dependency on non-EU defense suppliers. • Integrated planning improves production forecasting. • Ammunition demand is structurally elevated in current geopolitical environment.	**5+ Years**	●●●○○

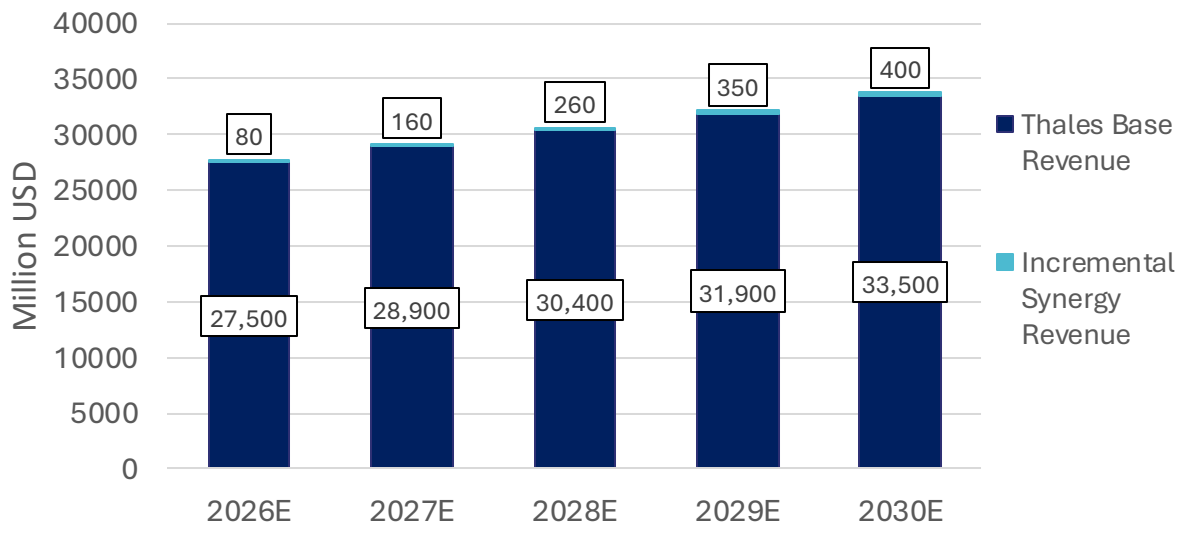
Cost & Revenue Synergies

Cross-Selling Revenues, R&D Integration and Procurement Savings

THALES

Cross-Selling & Integrated Systems Revenue

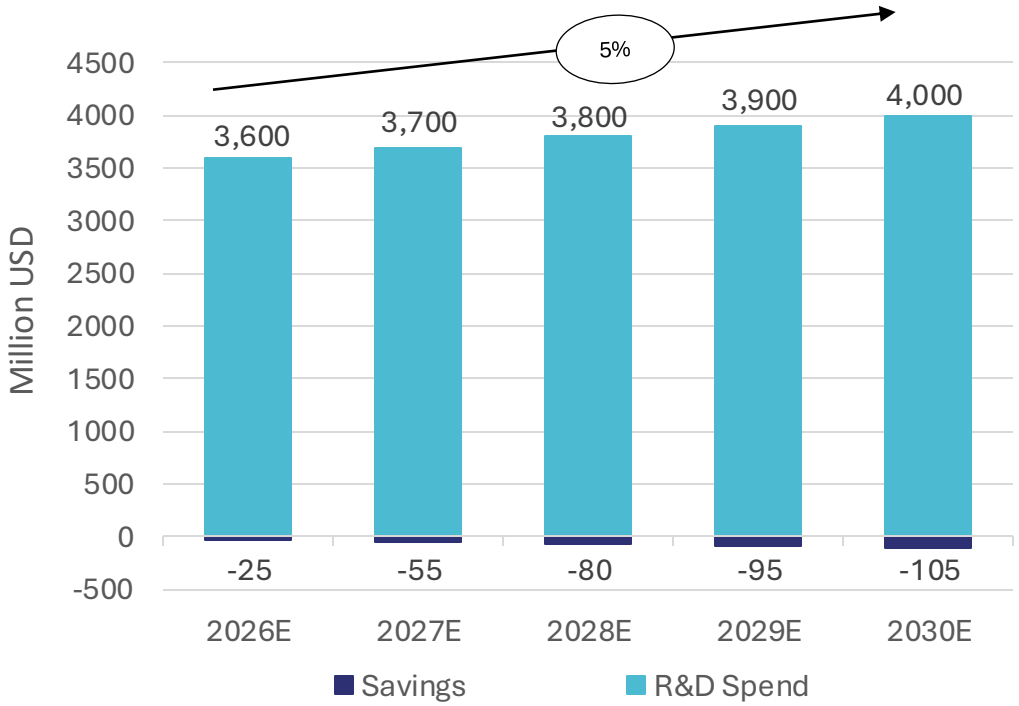
- The integration of Rheinmetall's armored platforms with Thales' advanced electronics, radar, and C4ISR systems enables the combined entity to offer fully integrated land combat solutions, increasing average contract scope and strengthening its positioning as a European prime contractor in large-scale NATO modernization programs.
- Bundled lifecycle offerings (platform + digital upgrades + maintenance) enhance recurring revenue visibility and increase switching costs, supporting a gradual 3–5% revenue uplift on the €10B addressable land systems segment, reaching approximately €400M annual run-rate by 2030.



Total 2026–2030 incremental revenue ≈ $1.25B

Research & Development Cost Savings

- Early-stage co-development of next-generation armored systems reduces duplication in embedded electronics, fire-control software, and digital architecture, improving capital efficiency across overlapping R&D domains.
- With combined annual R&D spending of approximately €3.5B, a conservative 5% efficiency gain in overlapping programs generates up to €105M in annual savings at steady state, totaling approximately €360M between 2026–2030.



Regulatory Feasibility

The merger between Thales and Rheinmetall might encounter some regulatory barriers

THALES

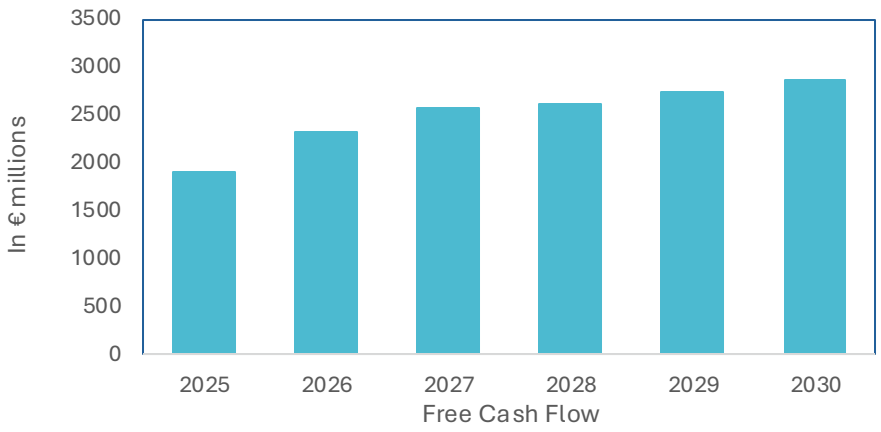
	French Government	German Regulations	EU Antitrust Law	MGCS Program Implications
Challenges	• The French state has ~26% stake in Thales. It includes board representation and veto rights over strategic decisions including major corporate transactions. • Thales' operations fall under the French 'Opérateur d'Importance Vitale'(OIV) designation, a critical national infrastructure designation that might triggers review and governmental intervention in case of drastic structural change.	• Rheinmetall has no direct state ownership, but Germany's Foreign Trade and Payments Act (AWG) and the Foreign Trade and Payments Ordinance (AWV) allow the government to block transactions in defense-critical sectors where foreign acquirers are involved. • German Codetermination Law mandates that workers hold 50% of supervisory board seats in companies of Rheinmetall's size. Any merger requires supervisory board approval, effectively requiring union and worker council consent.	• Combined market cap of €140+ billion and revenue of €30+ billion will trigger mandatory EU Merger Regulation (EUMR) Phase I or Phase II review. • In overlapping areas, primarily ground vehicle electronics, EW systems, some missile segments, the Commission may require divestiture of specific overlapping business units.	• The Main Ground Combat System (MGCS) is a Franco-German project to build a series of land defense systems by 2045. This is a joint venture by KNDS Deutschland, KNDS France, Thales, and Rheinmetall. • A Thales-Rheinmetall merger would merge two of four MGCS partners into one entity, creating governance complications within the program structure that KNDS would need to accept. This creates a tension with KNDS, which views Thales-Rheinmetall as a competitor.
Possible Remedies	• The French government supported the MGCS program with Germany, indicating appetite for Franco-German cooperation in defense. The merger of KDNS also showed French's government willingness to a cross-border merger. • French government might require a dual-domicile structure, maintained French employment levels, preserved French strategic technology access, and a board seat/supervisory role in the new entity.	• An SE (Societas Europaea) structure with dual-national headquarters and equal Franco-German governance is the architecture most likely to satisfy German requirements mirroring the KNDS model (KMW + Nexter merger).	• The European Commission has acknowledged the need for European defense champion. • The MGCS JV approval by sets positive precedent. The same sentiment applies to a Thales-Rheinmetall combination.	• Resolution paths: Negotiate a revised MGCS governance structure with KNDS; potentially offer KNDS a stake in Thales-Rheinmetall's ground systems division; or structure the MGCS JV as an independent entity.

Acquisition Feasibility

Rheinmetall: A Strong Competitor, Not a Compatible Partner

THALES

Strategic Misalignment	• **Different Core Competencies:** Overlap in some defense electronics, but largely complementary; however, integrating aerospace-focused R&D with ground systems and munitions R&D may dilute focus. • **Different in market focus:** Thales strong in European, Asia, US, while Rheinmetall focus on EU. • **Cultural:** Thales tends to be hierarchical and innovation-driven; Rheinmetall has a more engineering/production-oriented culture.
Overstated Synergies	• Limited cost cutting, their product are largely complementary but overlap • Complex supply chain
Financial Risk	• High premium • Heavily rely on government contract • Integration cost • High debt and large up-front capital expenditure
Cultural Mismatch	• **Governance friction:** Centralized French structure vs. execution-driven German culture may create decision-making conflicts. • Operational mismatch: Systems/integration focus vs. manufacturing-heavy model could slow integration. • **Talent & political risk:** Leadership uncertainty and cross-border defense scrutiny may increase retention and regulatory challenges.



Financial Implications

• Our valuation analysis suggests Rheinmetall is currently trading at elevated multiples driven by strong defense demand, limiting potential upside from mispricing.
• A stock-for-stock merger would likely be EPS dilutive without substantial cost and revenue synergies, increasing execution risk.

Strategic Implications

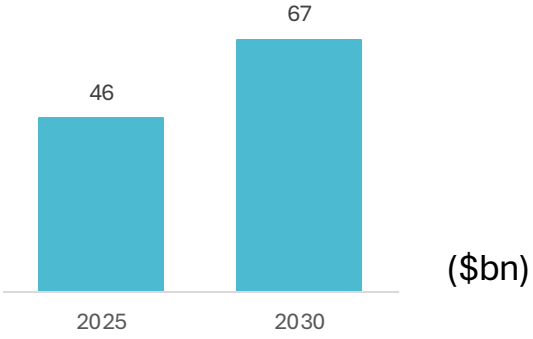
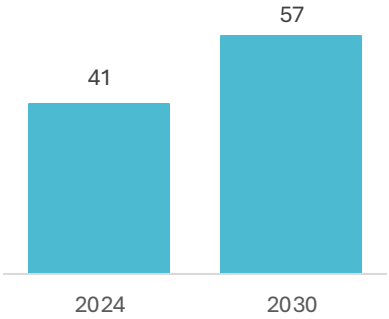
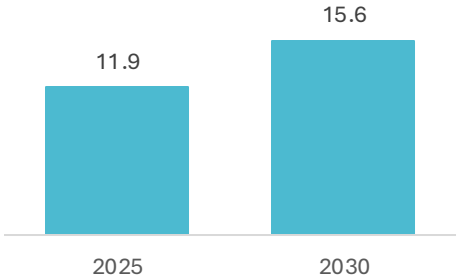
• Differences in governance structure, corporate culture, and operational focus may create integration complexity and misalignment of long-term strategic priorities.
• Rheinmetall may be better positioned as a strategic partner rather than a fully integrated merger target.

Thales should **NOT pursue a full merger** with Rheinmetall at this time.

Finding the Ideal Market for Thales to Invest In

Land Systems & Firepower vs Electronic & Defense Technology vs Air Defense

THALES

Land Systems & Firepower	Electronic Defense	Air Defense
CAGR 8.1% 	**CAGR 3.5%** 	**CAGR 4.83%** 
Mid-to-large market, high current demand, moderate technology depth	Large market, slower top-line growth, rising electronics/software content per platform	Smaller but strategic market, high unit value, long-term programs
Stockpile rebuild, NATO 2%+, Eastern-flank rearmament; risk of normalization after replenishment	**Digital transformation, AI-enabled C2, cyber-resilient networks**; highest strategic overlap with Thales.	**Missile & drone threats, integrated air & missile defense, Sky Shield**; concentrated, competition from US systems.
✓ ✓ ✓	✓ ✓ ✓	✓ ✓ ✓

Potential Alternative Targets

Screening European Defense Peers Across Strategic Fit, Scale, and Profitability

THALES

	Company Overview	Revenue FY25E (3-year CAGR)	Strategic Fit	Financial Impact	Feasibility	Risks
RENK	• German drivetrain & transmission systems manufacturer • Military vehicle gearboxes & naval propulsion • Strong exposure to European defense budgets • Key programs: Leopard 2, Puma IFV, naval platforms	1.3B (10%)	64%	72%	78%	45%
rosenbauer	• Firefighting vehicles & emergency systems • Civil security & municipal focus • Strong global export footprint	1.4B (7%)	58%	82%	40%	40%
PALFINGER	• Industrial engineering & plant systems • Focus: automation, hydropower, metals • Strong digital & process engineering capability	2.3B (7%)	64%	68%	78%	45%
ANDRITZ	• Industrial engineering & plant systems • Focus: automation, hydropower, metals • Strong digital & process engineering capability	7.8B (8%)	62%	80%	52%	58%
STRABAG	• Major European construction group • Infrastructure, tunneling & defense facilities • Strong public sector exposure	17.9B (5%)	38%	70%	40%	65%

RENK Overview

A Leading European Drivetrain and Propulsion Specialist for Defense and Industry

THALES

Production
- Global manufacturing & MRO network (Europe, U.S., others)
- Standardized RENK Production System improves efficiency and capacity
- Ongoing investment in modular systems to meet rising defense demand

Business Model
- Designs and manufactures mission-critical propulsion & drivetrain systems for defense and industrial sectors
  - Revenue from 3 segments: Vehicle Mobility Solutions (61%), Marine & Industry (29%), and Slide Bearings (11%)

RENK

Operation
- Global production, assembly, and service footprint
- Emphasis on quality, reliability, and on-time delivery
- Continuous improvement aligned with defense & industrial cycles

Research & Development
- €29M invested in 2024 (~2.5% of revenue)
- Strong patent portfolio and academic/industry partnerships
- Focus on electrification, hybridization, digitalization, next-gen propulsion

Main Business Segments

Military Vehicles
Gear systems and transmissions for tanks and armored vehicles

Naval & Marine
Propulsion systems for ships, naval vessels, and maritime applications

Industrial & Rail
Drive systems, couplings, and slide bearings for industrial machinery and rail transport

Aftermarket & Services
Maintenance, repair, spare parts, long-term service contracts, supports lifecycle management

Financial Overview

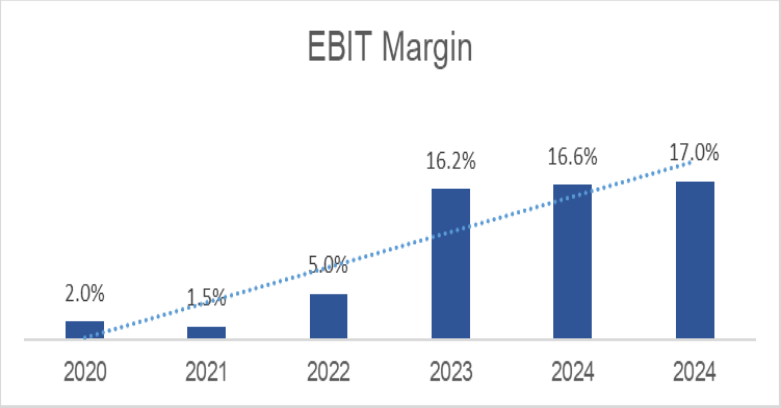
RENK Group AG trades at ~57x P/E — a peak valuation driven by the European defense surge — making an outright acquisition cost-prohibitive. **We recommend pursuing a merger** to access RENK's growth trajectory while preserving capital and aligning shareholder interests on both sides.

Key Takeaway

A Thales-RENK merger unlocks immediate access to RENK's **€6.4B backlog** and 70+ land forces/40+ navies across NATO. Thales gains entry into the **ground propulsion & drivetrain market** — a segment it currently has zero presence in — while RENK gains Thales' electronics, sensors, and C4ISR capabilities to offer fully integrated combat systems. Combined revenue synergies estimated at **€400–600M+** within 3–5 years, with cross-sell potential across armored vehicles, naval platforms, and next-gen hybrid propulsion.

EBIT Margin

Margin Improvement:
Adjusted EBIT margins have remained **high and rising**, unusual compared to more cyclical industrial suppliers — signaling strong pricing power and cost discipline in defense segments.



Strategic Partnerships

Order Backlog RENK's total order backlog stands at a record **€6.4B** (~5x annual revenue), with a book-to-bill of 1.3x . Key customers include the **Bundeswehr** (Puma, Boxer, Büffel vehicles), the **US Army** (tracked vehicle drivetrains via RENK America), and **70+ land forces & 40+ navies** across NATO/allied nations, including Latvia and the UK.

BUNDESWEHR

Thales and Renk Strategic Fit

Better Together: Powering the Future of Land Defense

THALES

Thales and Renk's Weakness

Thales' Weakness:

- They are strong in electronics/software, weak in heavy land systems.
- Limited brand strength for complete land platforms.
- Must partner or subcontract for mechanical/hardware parts.
- High-margin focus on electronics may limit R&D allocation for hardware-intensive land systems.

Renk's Weakness:

- Focused on drivetrain & propulsion components, not full vehicles.
- Limited electronics, software, & networked battlefield capability.
- Dependent on OEMs for vehicle integration → lower pricing/control.
- Faces competition in propulsion systems and component supply.
- Lower value capture vs integrated platform suppliers.

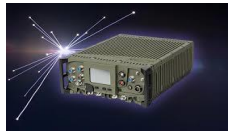
Thales and Renk on Strategic Benefits

- **Mobility & drivetrain capability** (propulsion, transmissions, suspension)
- Moves from **subsystem supplier → integrated land systems player**
- Higher share of contract value in armored vehicle programs
- Stronger positioning as **prime contractor**
- Access to European/NATO vehicle platforms
- Capability to develop **hybrid / electric / next-gen combat vehicles**
- Advanced **electronics, sensors & battlefield integration**
- Access to Thales's **C4ISR & secure communications systems**
- Moves from **component supplier → system-level partner**
- Higher value-added offerings (mobility + digital integration)
- Greater access to global defense customers
- Stronger positioning in autonomous & networked vehicle programs

The Power of this Strategic Alliance

Vertical Integration in Land Systems	RENK Group AG controls high-end military transmissions and heavy vehicle mobility systems. If Thales integrates propulsion and electronics, it moves up the value chain and captures larger % of contract value
Entry into Armored Vehicle Programs	Renk is deeply embedded in European tank programs & NATO modernization projects That gives Thales immediate access to vehicle OEM ecosystems and influence in next-gen platform design
Control Over Future Hybrid / Electric Military Vehicles	Thales alone cannot design power architecture. With Renk, it can co-develop electrified combat vehicles, high-power sensor platforms, autonomous mobility systems
Greater Prime Contractor Potential	If Thales combines Mobility (Renk), Electronics, Fire control, Battlefield management, Secure comms. It can credibly compete as land systems integrator, not just subsystem supplier

Strategic Fit Summary



- **Rising NATO modernization demand** driving long-term armored vehicle upgrades
- **RENK's propulsion leadership** & **Thales's advanced C4ISR & sensors** create a fully integrated land combat solution
- **Vertical integration** increases contract value capture and prime contractor positioning
- **Enables next-gen hybrid, electrified, and autonomous combat vehicles**, strengthening long-term competitiveness

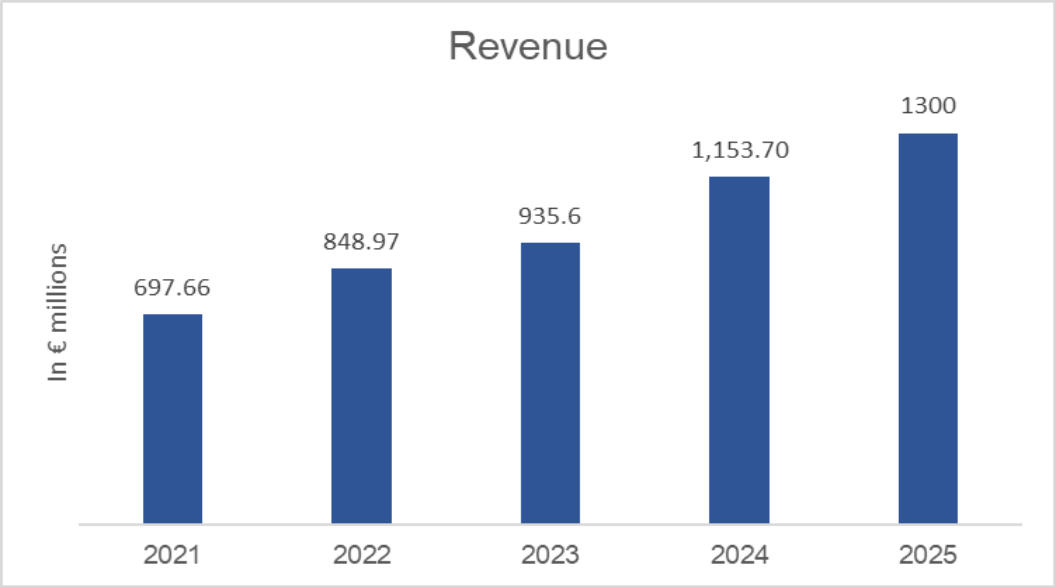
Thales partners with RENK to combine advanced battlefield electronics with proven propulsion systems, strengthening vertical integration and enabling next-generation hybrid and networked combat vehicles while increasing control over land defense value capture.

Financial Outlook on Renk

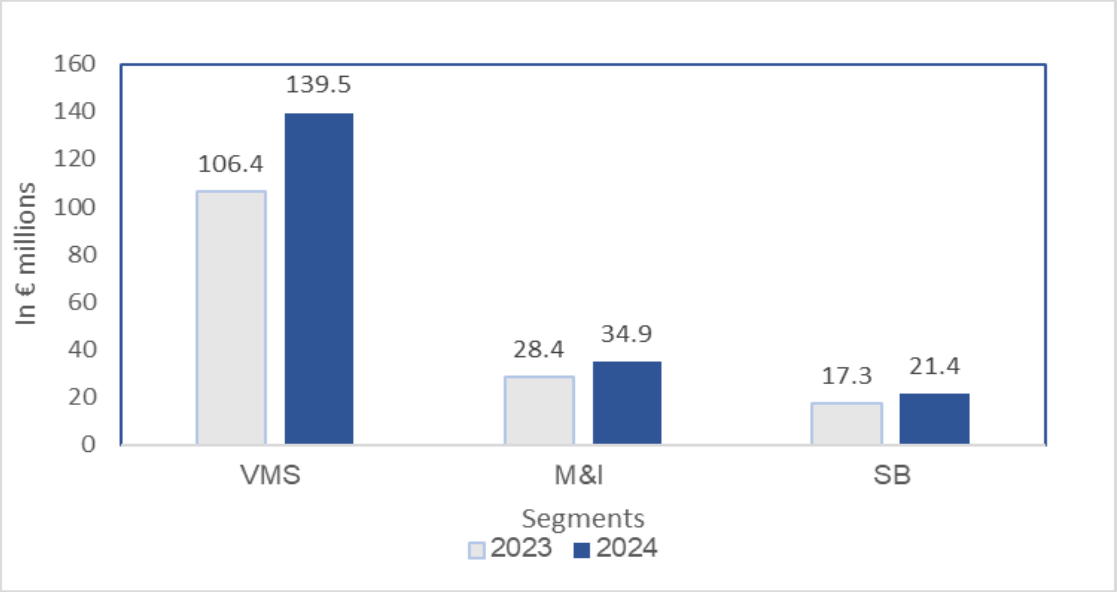
Accelerating revenue growth and expanding margins signal a high-value — but well-timed — merger opportunity

THALES

RENK has delivered consistent revenue growth from **€698M (2021) to about €1.3B (2025E)**, nearly doubling in 4 years, driven by surging NATO defense budgets and long-cycle contract wins across land, naval, and industrial segments.



The **Vehicle & Marine Systems (VMS)** segment remains the dominant revenue driver, with strong YoY growth from 2023 to 2024, reflecting accelerating armored vehicle demand across Europe. Industrial and SB segments provide stable recurring base revenue.



RENK's **strong and accelerating revenue trajectory**, combined with rising EBIT margins now at **17%**, makes it an increasingly valuable — yet still strategically accessible — merger partner for Thales before valuation expands further.

A Thales-RENK merger could unlock **€700M - 1B in combined annual value** within 3–5 years — on top of Thales' existing **€20.6B revenue base** — by converting two subsystem suppliers into a single integrated European land defense champion.

Cost and Revenue Synergy Thales x Renk

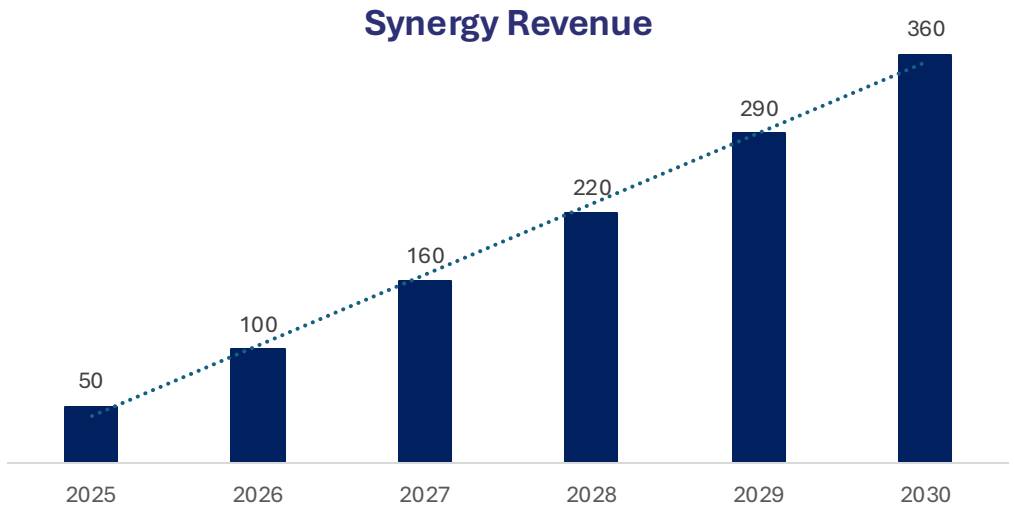
Merger Creates €500M+ in Identifiable Cost and Revenue Synergies

THALES

Revenue Synergy

- Thales currently generates ~€20B in annual revenue; RENK contributes €1.14B — forming a €21.14B combined base
- Post-merger, Thales gains access to RENK's €6.4B order backlog and existing Bundeswehr/NATO customer relationships
- Bundling Thales' C4ISR and electronics with RENK's drivetrain systems enables bidding as a fully integrated prime contractor, unlocking larger contracts neither could win alone
- Synergy revenue accelerates as integration matures, generating +€1,150M in cumulative new revenue from 2025 to 2030

↑ +€1,150M 2025 to 2030 Synergy Revenue

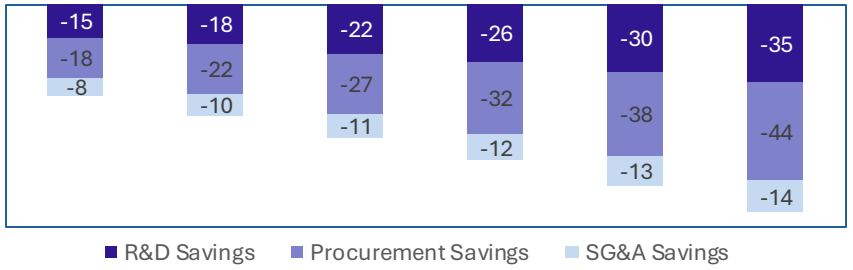


↓ -€146M 2025 to 2030 R&D Overlap

R&D Savings

- Thales and RENK share overlapping R&D in electrification, hybridization, and next-gen propulsion
- Consolidating programs eliminates redundant spend, saving -€146M in R&D costs from 2025 to 2030

Cost Saving



Procurement & G&A Savings:

- Combined purchasing scale reduces supplier costs across shared defense supply chains
- Elimination of duplicate corporate functions drives further overhead reduction
- Total procurement and G&A savings of -€181M from 2025 to 2030

↓ -€181M 2025 to 2030 Procurement & SG&A

Strategic Merger Feasibility

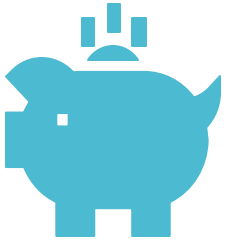
Complementary capabilities, manageable cost, and strong strategic rationale

THALES

RENK's Merger Valuation

Market Cap: ~€5.5B / EV: ~€6.2B

- Merger of Equals → combined entity €25–27B, no upfront premium required
- Thales' FCF of €1.9–2.9B supports deal financing without compromising credit rating
- Stock-for-stock structure preserves balance sheet flexibility for both parties

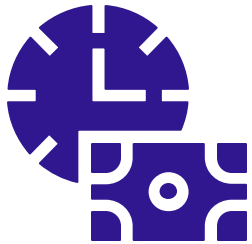


1. Financial Capacity

- Thales' strong FCF (€1.9–2.9B, 2025–2030E) provides sufficient capacity for a mid-sized merger
- No upfront capital required — stock-for-stock structure preserves investment-grade rating
- Post-transaction leverage remains within investment-grade thresholds

2. Merger Pathway & Shareholder Dynamics

- RENK's broad shareholder base and no controlling block reduces structural barriers
- Free float enables stock-for-stock execution without a costly premium bid
- Institutional investors likely supportive — Thales offers diversification into a larger defense platform
- Success depends on board alignment and a compelling joint equity story — both achievable given clear strategic fit



Feasibility Assessment

Regulatory & Political Risk	• Merger of Equals structure reduces foreign ownership concerns vs. full acquisition • German scrutiny manageable — RENK retains operational independence and German corporate identity • Dual-nationality governance (e.g., KNDS, MBDA precedents) is a viable structure
Strategic Fit	• RENK fills Thales' critical gap in land systems propulsion and drivetrain • Combined entity becomes a fully integrated land combat platform provider and NATO prime contractor • Together they cover the full combat vehicle stack — mobility to mission systems — that neither can offer alone
Market Timing	• RENK's €6.4B backlog and rising EBIT margins signal fundamental strength — ideal merger timing • Stock-for-stock today uses Thales' strong share price as acquisition currency • Waiting carries risk — RENK's valuation will only rise as European defense budgets grow

Conclusion

Rheinmetall is a competitor — RENK is the partner. Thales should merge with RENK.

THALES

The European Defense Opportunity

NATO rearmament is accelerating — land systems growing at 8.1% CAGR to $67B by 2030, creating a generational window for a vertically integrated European champion

Thales' Strategic Gap

Thales dominates electronics and C4ISR but has zero presence in land propulsion — missing a critical piece to compete as a full land systems prime contractor.

Why Rheinmetall Doesn't Align

Overlapping R&D, cultural mismatch, and EPS-dilutive merger economics make Rheinmetall a competitor — not a compatible partner.

Why RENK is the Right Partner

RENK's €6.4B backlog, 17% EBIT margins, and complementary drivetrain expertise unlock €700M–1B+ in synergies via a stock-for-stock merger — creating Europe's first fully integrated land combat champion.

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